

passive counterparts. However, the ‘too good to be true’ reported performance of these market timing rules raises a legitimate concern as to whether this performance is realistic and whether investors can expect that future performance will be the same as the documented historical performance. We argue that the reported performance of market timing strategies usually contains a considerable data-mining bias and ignores important market frictions.”¹⁷

Challenging MA Rule #3

- Marmi, Pacati, Risso, Reno (2012): “...“A quantitative approach to tactical asset allocation” by the fund manager M. Faber, a real hit in the SSRN online library. Is this paper a counterexample to market efficiency? We reject this conclusion, showing that a lot of caution should be used in this field, and we indicate a series of bootstrapping experiments which can be easily implemented to evaluate the performance of trading strategies.”¹⁸

Overview of Technical Analysis

- Park and Irwin (2007): “The purpose of this report is to review the evidence on the profitability of technical analysis. To achieve this purpose, the report comprehensively reviews survey, theoretical and empirical studies regarding technical trading strategies.”¹⁹

Dual Momentum Investing

- Antonacci (2014): “By combining relative-strength momentum and absolute momentum, this unique methodology lets you take advantage of intra-market trends while avoiding large drawdowns.”²⁰

Sentiment Indicators

Malcolm Baker and Jeff Wurgler in their 2006 paper “Investor Sentiment and the Cross-section of Stock Returns” make a clear statement: “Classical finance theory leaves no role for investor sentiment.”²¹ They go on to highlight that investor sentiment might play a significant role in explaining